holding periods (from breakout to ultimate high) for both the stock and the index.

Days to ultimate high. Price tops out quickly for this pattern. The average is about 10 weeks in bull markets and about 6 weeks in bear markets. Thus, if you time it right, this pattern could be quite profitable for swing traders. It's plentiful and price recovers quickly.

How many change trend? This is a gauge of how many V-bottoms see price rise more than 20% from the breakout. The higher the number, the better because it suggests the move will be high enough to make a tidy profit. Both numbers are above 50%, which is what I like to see.

Table 69.3 shows cumulative failure rates. For example, I found 377 or 19% of V-bottoms failed to see price rise more than 5% (above the breakout) in bull markets. Almost half the patterns will fail to see price rise more than 20% after the breakout.

For this table, the lower the number, the better. You may find it easier to make money on patterns with low failure rates. Just remember that the results are for perfect trades, ones that buy when price hits the 38.2% retrace and sell at the ultimate high. The ultimate high is the highest peak before the uptrend ends. See the Glossary ("Ultimate high") for details.

Table 69.3 Cumulative Failure Rates

Maximum Price Rise (%)	Bull Market	Bear Market
5 (breakeven)	377 or 19%	236 or 14%
10	242 or 31%	234 or 28%
15	168 or 39%	199 or 40%
20	159 or 47%	168 or 50%
25	145 or 55%	138 or 58%
30	109 or 60%	118 or 65%
35	83 or 64%	80 or 70%
50	234 or 76%	199 or 82%
75	197 or 86%	161 or 91%
Over 75	283 or 100%	145 or 100%